

PASSIVE COMMODITY FUTURES

Another volatile asset class that has attracted a considerable following in recent years is commodity futures. One reason for this is the belief that commodities act as an inflation hedge. Yet common stocks over the long run, Treasury Inflation-Protected Securities (TIPS), and even Treasury bills can also serve as a hedge against inflation.

The underlying problem with commodity futures is that they, like currencies, are not an asset class in the same sense as stocks and bonds.¹⁰ An asset class is a portfolio of homogeneous assets delivering a positive excess return above the risk-free rate in the long run, corresponding to a “risk premium” or reward for the risk associated with holding that asset.

Stocks and bonds exist as vehicles for raising capital. In return for this, investors can expect streams of payments from bonds or residual cash flow from equities. However, one cannot generally expect a long-only position in commodity futures to provide an excess return, as is the case with stocks and bonds.

Commodity futures contracts are a zero sum game in which the profits and losses of contract buyers and sellers are equal, disregarding transaction costs. According to Erb and Harvey (2006), “The average excess returns of individual commodity futures contracts have been indistinguishable from zero.”

Commodity futures are an insurance-type market where hedgers and speculators trade risks. There is no expectation of aggregate positive returns. Futures contracts cease to exist on their expiration dates, and there is no wealth created in these transactions. Because gains and losses are symmetrical to the buyer and seller of a futures contract, one cannot say that the buyer, by taking on volatility, is entitled to a positive return, since the seller, by the same reasoning, would also be entitled to a fair return. One of them must lose for the other to gain.

Commercial hedgers are generally short sellers who need to lay off risks of the unknown in their capital-intensive business. Speculators, who have no actual need to participate in commodity markets, traditionally take the other sides of these trades because of the premiums they receive as they roll expiring futures contracts out to longer maturities.

In the 1980s, when I was managing large commodity pools, buyers of commodity futures enjoyed a systematic positive return called the “roll